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Capital Allocation Decision Brief — Q3 2025

The choice between strategic pivot, diversification, and preservation

Prepared for Mara Heritage Bank Board Chair · Q3 2025 · 25 Jun 2026 · 12:01 UTC

Executive summary

The board meets to decide deployment of 90-140 basis points of available CET1 headroom against two concentration breaches and a strategic course correction. Real estate exposure has reached 31.2% against the 25% guideline; digital lending NPLs have crossed 9% for the second time, triggering material divergence review. The CEO recommends pivoting digital lending from unsecured consumer to secured SME, reducing the FY28 digital revenue target from 18% to 16%. Three options exist: maintain the original digital thesis and deploy capital into higher NPL tolerance, retreat to conservative book management and hold capital, or approve the pivot with capital allocated to secured SME digital. The evidence supports the pivot: operational delivery on digital transformation has retired execution risk, but cohort credit risk on unsecured lending has materialised above original assumptions. The recommended path is to approve Option 3 with Q4 capital allocated primarily to secured SME digital, holding 100-150 basis points in reserve per the Strategic Capital Allocation Framework.

The Decision Context

Fifteen months into the five-year plan, two internal thresholds have been crossed. Real estate concentration has reached 31.2% against the 25% guideline; digital lending non-performing loans have crossed 9% for the second time. Both breaches meet the material divergence definition requiring board strategic review. The capital position remains comfortable at 16.4% CET1, providing 240 basis points above the 14% internal floor. After reserving 100-150 basis points for opportunistic deployment per the Strategic Capital Allocation Framework, approximately 90-140 basis points remain available for active allocation in Q4.

The digital transformation operational results exceed every target: mobile transactions run at 2.4× baseline, uptime holds at 99.6%, cost-to-serve has fallen 18%. Execution risk on digital delivery has largely retired. The remaining question is cohort credit risk on the digital lending book, where management now assesses steady-state NPLs may settle at 8-11% rather than the originally modelled 6-7%. [], [], [], [], [], []

The Three Options

Option 1: Maintain the FY28 digital revenue target at 18%, accept the higher NPL range, deploy Q4 capital into digital lending to achieve the original revenue contribution. This requires substantially more book growth than originally planned, accepts 8-11% steady-state NPLs, and concentrates capital into the asset class showing stress. It validates the original digital thesis despite observed cohort dynamics.

Option 2: Reduce the FY28 digital revenue target to 14-15%, recalibrate to conservative NPL trajectory, hold capital or redirect to other diversification levers. This produces lower volatility and

preserves capital strength, but requires explanation to investors and may compromise the transformation narrative. It treats the digital lending thesis as requiring fundamental reassessment.

Option 3: Pivot digital lending product mix from unsecured consumer to secured SME digital, adjust revenue target to 16% as compromise between original ambition and conservative retreat, deploy Q4 capital into the new secured product. This acknowledges the unsecured consumer cohort model was insufficiently understood at strategy approval while preserving transformation momentum. It addresses real estate concentration by diversifying into SME, aligning with the Strategic Capital Allocation Framework designation of SME as priority growth vector. [], []

Evidence Triangulation

The case for Option 1 rests on competitive pressure and operational success. Peer banks have moved more aggressively on digital; slowing now creates narrative risk with investors and talent retention challenges. Digital channel operational metrics validate the platform investment. The NPL increase may reflect cohort seasoning rather than fundamental model failure. Against this: crossing the 9% NPL threshold twice suggests persistent underperformance rather than temporary volatility. Deploying more capital into an asset class showing stress concentrates rather than diversifies risk. The original cohort model assumptions have not held.

The case for Option 2 rests on prudence and capital preservation. The 240 basis points of CET1 headroom exists because concentration has grown faster than intended; it is buffer, not surplus. Both concentration breaches materialising simultaneously could threaten the 14% floor under stress. Holding capital while running more cohort data avoids compounding a strategic error. Against this: it signals loss of confidence in management judgment only 15 months into a five-year plan. It creates strategic paralysis at the point the digital infrastructure investment has proven successful. The Five-Year Strategic Plan explicitly assumes active concentration management rather than passive growth, suggesting some course correction was anticipated.

The case for Option 3 rests on preserving transformation momentum while acknowledging observed reality. The secured SME digital product addresses two problems: it diversifies away from real estate corporate concentration while maintaining digital revenue trajectory. It allows capital deployment into the business line the Strategic Capital Allocation Framework designated as priority. The 16% revenue target compromise avoids the narrative cost of full retreat while incorporating realistic NPL expectations. Against this: secured SME digital operational readiness is not evidenced in the board pack. Management is asking the board to approve a pivot based on assertion that the original thesis was a strategic error, which may understate the execution challenge of the new direction. [], [], [], [], [], [], [], []

What the Framework Tells Us

The Strategic Capital Allocation Framework approved for FY26-28 already contemplates this decision structure. SME is designated priority growth vector; digital has explicit cohort-based capital reservation with the option to slow or accelerate based on observed NPL trajectory; corporate is hold or modestly grow. The framework reserves 100-150 basis points for opportunistic deployment and states that allocations outside ±20% of business line targets require board approval. The concentration breaches trigger that threshold.

The Five-Year Strategic Plan states that real estate concentration drift is the most material structural risk and that digital lending carries unproven cohort dynamics. Both risks have now materialised. The plan defines material divergence as more than 200 basis points off path on core targets and specifies that such divergence triggers CEO recommendation to the board. The CEO has made that recommendation: Option 3 with the revenue target adjusted to 16%. [], []

> “The concentration breaches create urgency but do not fundamentally constrain options given the 240 basis points of headroom. The real question is whether to trust management's judgment that the unsecured digital cohort model was wrong.”

Recommended Path

Approve Option 3: pivot to secured SME digital lending, reduce digital revenue target to 16%, allocate Q4 capital primarily to the secured product with 100-150 basis points held in reserve. This is the least-regret option. It acknowledges observed cohort dynamics without abandoning the transformation thesis. It addresses both concentration breaches simultaneously by diversifying into SME. It follows the capital allocation priorities the board has already approved. It keeps capital headroom comfortable while deploying into strategic priorities.

The approval should be conditional on three management deliverables by Q4: detailed operational plan for secured SME digital product launch, cohort-level NPL data for the existing unsecured book showing trend stabilisation or deterioration, and transition plan for managing the unsecured book to maturity without crystallising larger near-term losses. If management cannot produce these, the board should hold capital and commission external review of the cohort models.

The alternative of holding all capital (Option 2 path) feels prudent but risks strategic paralysis and narrative damage at the point operational delivery has validated the digital investment. The alternative of maintaining the original thesis (Option 1) is imprudent given observed NPL trajectory and would concentrate capital into the asset class showing stress. Option 3 threads the needle: it is a course correction within expected bounds, not wholesale strategic failure. [], [], [], [], []

Sources

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[3] mara-heritage-bank-board-pack-q3-2025.docx

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[17] Digital Transformation Strategy — Strategic Refresh

[18] Strategic Capital Allocation Framework

[19] Five-Year Strategic Plan 2024-2028 — Executive Summary